

Advanced Taxation — Taxation of Business Income: Partnerships and Companies —

PREVIEW

Course: CPA — Certified Public Accountant | **Level:** Advanced Level 1

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

Contents (full paper)

1. Who is taxed: partnerships vs companies — *included in this preview*
 2. Legal nature of a partnership for tax purposes — full version only
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1. Who is taxed: partnerships vs companies

Kenyan income tax treats these two common business vehicles very differently:

- A **partnership** is not a taxable "person" in its own right. Its profits are computed at partnership level, then allocated to and taxed on the individual partners, at their personal graduated tax rates.
- A **limited company** is a separate legal person and a separate taxable person. It pays corporation tax on its own profits, and shareholders are taxed separately (if at all) on what the company distributes to them.

This single distinction — taxable entity vs taxable-income pass-through — drives almost everything else in this chapter.

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB CPA Advanced Taxation paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

CPA ADVANCED LEVEL 1 — ADVANCED TAXATION (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Explain, using the concept of "substance over form," why a document titled "Partnership Deed" does not by itself prove that a partnership exists for tax purposes. (6 marks)
- (b) Outline the treatment of partners' salaries and interest on capital when computing the adjusted taxable profit of a partnership. (6 marks)
- (c) Explain the steps followed in allocating a partnership's adjusted taxable profit between its partners. (8 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes the legal tests for whether a partnership exists (with case-law principles), a full worked partnership profit-allocation question, corporate residence and tax

rates, special corporate tax regimes, instalment tax, the modern consolidated capital-allowance framework, current dividend/distribution rules (including why "compensating tax" no longer applies), branch vs subsidiary taxation, group-of-companies rules, a full worked corporate tax computation, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.